ADMISSION EXAMINATION
ATTORNEYS' PRACTICE
PART 3

5 NOVEMBER 2020

MEMORANDUM

PLEASE NOTE THAT THE GUIDELINE ANSWERS TO PREVIOUS PAPERS MAY NOT BE A CORRECT REFLECTION OF THE LAW AND/OR PRACTICE AT THE MOMENT OF READING.

NOTE TO EXAMINER: ***This guideline records the views of the drafters. There may be justifiable variations in practice which are brought out in the answers. When this happens the examiner should apply his discretion in marking the answer.***

QUESTION 1 [8]

1.1 The Act defines operational requirements as based on:

- Economic
- Technological
- Structural, or
- Similar; needs of the employer

(4)

1.2 The employer should seek to minimize termination of employment by e.g.:

- Stop hiring new employees
- Eliminate overtime
- Voluntary retrenchment
- Early retirement
- Reduction in working hours

(4)

QUESTION 2 [4]

The purpose must be to conduct business (1), in order to earn profits (1); each partner must contribute to the partnership (1) and share in the profits (1).

QUESTION 3 [4]

The following may not be concluded electronically:

- Agreement for the sale of immovable property;
- Leases of land exceeding 20 years;
- Wills;
- Bills of exchange.

QUESTION 4 **[18]**

4.1 The seller warrants and represents that:

4.1.1 he is the beneficial owner of the shares which are fully paid; (1)

4.1.2 the Seller is able to deliver to the Purchaser good title in and to the shares;(1)

4.1.3 neither the members of the company nor its directors have passed, or agreed to pass, any resolution for the increase of the capital of the company, or for the issue of any other shares in the company, and that no such resolution will be passed prior to the transfer of the shares; (2)

4.1.4 any rights of pre-emption in respect of the said shares or any portion thereof, whether granted by the articles of association of the company or otherwise, will be waived; (1)

4.1.5 the books and records of the company accurately reflect, in accordance with accepted accounting principles, its financial affairs and all the transactions to which it has been a party; (2)

4.1.6 the Company is not engaged in any income tax appeals, arbitration or criminal proceedings, labour disputes, competition or consumer commission enquiries or any other tribunal enquiries or litigation other than proceedings for the collection of debts from debtors in the ordinary course of business; (2)

4.1.7 the Seller is not aware of any matter in respect of the shares or the Company or the Property which would have any bearing on the acquisition by a Purchaser of the Shares/Equity. (1)

4.2 Delivery of documents of title.

The Seller shall on the Effective Date/signature date deliver to the Purchaser the following documents; the share certificates (1) in respect of the Subject Shares accompanied by share transfers forms (1) currently dated and executed in blank by the registered holder thereof, so as to enable such shares to be registered in the name of the Purchaser or its nominees (1); a written cession (1) ceding the claims to the Purchaser or its nominee; a resolution duly passed by the board of directors of the Company approving the transaction set out in this agreement; (2) and

The written resignations of those of the directors, public officers, secretaries and other officers of the Company (1) whose resignations have been required by the Purchaser, and the resignation of the Company's auditors, if so required by the Purchaser (1). (8)

QUESTION 5 **[22]**

5.1 The objective of business rescue is to develop and implement a plan to rescue the company by restructuring its affairs, business, property, debt and other liabilities and equity in a manner that maximises the likelihood of the company

continuing to exist on a solvent basis; or, if it is not possible for the business to continue in existence, to implement a plan whereby better results are achieved for the company's creditors or shareholders than would result from liquidation.

The purpose of business rescue is to facilitate the rehabilitation of a financially distressed company. In terms of section 128(1)(f), a company is regarded as financially distressed if it appears reasonably unlikely that the company will be able to pay all of its debts as they fall due and payable within the immediately ensuing six months or if it appears to be reasonably likely that the company will become insolvent within the immediately ensuing six months. (8)

5.2 Business rescue proceedings are initiated in one of two ways – can be commenced either:

- Voluntarily, by way of a resolution of the board of directors of the company's board; or
- By applying for a court order to place the company under supervision and commence business rescue proceedings. (2)

5.3 Affected persons are shareholders, creditors; a registered trade union representing the company's employees, as well as any employees not represented by a registered trade union or the representatives of such employees.

An affected person may object to a business rescue resolution, or the appointment of a business rescue practitioner, at any time after the resolution, but before the adoption of a business rescue plan, on any of the grounds set out in section 130(1) of the Companies Act. (4)

5.4 There is no reasonable basis for believing the company is financial distressed;
There is no prospect of rescuing the company;
The company has failed to satisfy the procedural requirements set out in S 29
(3)

5.5 The commencement of Business Rescue (after valid board resolution or Court order) places a moratorium on most legal proceedings against the company. During business rescue proceedings, no legal proceedings, including enforcement action, against the company or in relation to any property belonging to the company or lawfully in its possession, may be commenced or proceeded with in any forum, except:

- With written consent of the practitioner;
- With the leave of the court and in accordance with any terms the court considers suitable;
- As a set-off against any claim made by the company in any legal proceedings, irrespective whether those proceedings commenced before or after the business rescue proceedings began;
- Criminal proceedings against the company or any of its directors or officers; or
- Proceedings concerning any property or right over which the company exercises the powers of a trustee.

(5)

QUESTION 6 **[15]**

Domicilium Citandi et Executandi / Notices

6.1 The parties choose as their *domicil citandi et executandi* for all purposes under this agreement, whether in respect of court process (1), notices or other documents or communications of whatsoever nature (including the exercise of any option (1), the following addresses:

6.1.1. Physical
Postal
Fax
E-mail

6.1.2 Physical
Postal
Fax
E-mail (1)

6.2 A notice or communication given in terms of this agreement shall be valid and effective only if in writing. (1)

6.3 Any / either party may by notice to the other party change the physical address chosen as its *domicillia citandi et executandi vis-à-vis* that party to another physical address where postal delivery occurs in or or its postal address or fax number or e-mail address, provided that the change shall become effective *vis-à-vis* that addressee on the 1st (first) business day after the deemed receipt of the notice by the addressee. (1)

6.4 Any notice to a party:

6.4.1 sent by prepaid registered post (by airmail if appropriate) in a correctly addressed envelope to the party at an address chosen as its *domicillia citandi et executandi* to which post is delivered shall be deemed to have been received on the … business day after posting (unless contrary is proved. (2)

6.4.2 delivered by hand to a responsible person during ordinary business hours at the physical address chosen as the party's *domicillia citandi et executandi* shall be deemed to have been received on the day of delivery. (2)

6.4.3 sent by fax to the party's chosen fax number, shall be deemed to have been received on the date of dispatch (unless the contrary is proved); (2)

6.4.4 sent by e-mail to the party's chosen e-mail address, shall be deemed to have been received on the date of dispatch (unless the contrary is proved). (2)

6.5 Notwithstanding anything to the contrary herein contained a written notice or communication actually received by a party shall be adequate written notice or communication to it notwithstanding that it was not sent to or delivered at its chosen *domicillium citandi et executandi*. (2)

QUESTION 7 **[20]**

7.1 You may act unless some conflict is apparent. It is wiser to appoint an independent attorney. (3)

7.2 You may, but not desirable. (2)

7.3 You may act unless negotiations become tricky, bargaining power is clearly unequal or if assets are vastly different. (2)

7.4 You may, but professional courtesy requires you to personally inform the colleague beforehand. (3)

7.5 You should not start before speaking to the colleague regarding release of the file, payment of his/her costs, unless delay would cause irreparable harm. (2)

7.6 Yes
Yes
Usually not.
In the first two cases it would normally be in the interests of the client;
In the third it may well be detrimental. (3)

7.7 Yes;
There should not be a dispute about assets, custody does not arise. If unforeseen conflict does arise, you would withdraw from both parties. In principle you may act. (5)

QUESTION 8 **[5]**

In terms of Rule 33(3) you may not.
Unless the court for good cause shown order otherwise, costs of interim orders shall not be taxed until the conclusion of the matter;
A party may present only one bill up to and including the judgment or other conclusion of action.

QUESTION 9 **[4]**

Note to examiners: ***candidates were informed of error under fees column – the amount on the exam paper reflected R10 0000.00 – the correct amount is R10 000.00 as per below.***

	FEES	**DISBURSEMENTS**
	R 10 000.00	R 4 500.00
Less taxed off	R 4 500.00	R 2 000.00
Sub-total	R 5 500.00	R 1 500.00
TOTAL	R 7 000.00	**(1)**

Thus taxed and allowed **(1/2)** in the amount of R7 000.00 (seven thousand rand). **(1/2)**

Signed at _____this day of _____ 2020

Taxing Master

In terms of the Magistrates Court Rule 33 (17)(a) **(1/2)** where more than one-fourth of the bill **(1/2)** (excluding expenses) is taxed off **(1/2)**, the party presenting the bill shall not be allowed any costs of taxation. **(1/2)**

TOTAL: [100]

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